

CHENNAI FLAGSHIP • 2026

RaceSims • Chennai

A 6-rig premium sim racing centre — built by the official Conspit & VNM distributor and service partner in India, founded by a working race engineer at ARKA Motorsports, in the city where motorsport already lives. Home of **The Motorsport Academy**.

Sim racing in India is where karting was *in 2010*.

WHY NOW

- **F1 viewership in India crossed 50M** last season, growing 25%+ YoY
- **425M+ gamers in India**; 10M+ play racing games regularly
- *Drive to Survive* among Netflix India's most-watched non-fiction
- Direct-drive hardware now affordable; motion platforms credible sub-₹10L
- Esports recognised by Govt of India (2022) — competitive sim racing has a path

WHY CHENNAI

- **MMRT** — India's premier race circuit is here
- **60-year motorsport heritage** — Tamil Nadu's racing ecosystem
- MRF Motorsport · ARKA Coimbatore axis · INRC rounds locally
- Significant HNI & supercar owner base · MMRT track-day community
- Indian motorsport heroes (Narain Karthikeyan, Ehsan Wazir et al) come from here

WHY US

- **Conspit & VNM distribution rights in India** — favourable hardware economics on every build
- ARKA Motorsports lineage — 130+ championship titles, real racing credibility
- Existing dealer network across 4 cities running our Hot Lap pool
- National Sim Racing Championship announced for 2027
- Operator + distributor + championship organiser — integrated stack

6 rigs. 12 hours a day. *365 days a year.*

RIGS 6 5 Rally/GT + 1 Motion	OPERATING HOURS 12hr Daily, 7 days a week	ANNUAL CAPACITY 26,280 Seat-hours (hard ceiling)	TEAM 4 Direct + outsourced CA
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FORMAT & EXPERIENCE

- Premium location · 1,200-1,500 sq ft commercial space
- 5 Rally/GT rigs · Conspit DD wheelbase, load-cell pedals, H+seq shifter
- 1 Motion rig · Conspit/VNM motion platform — premium tier offering
- Café-lounge, branded photo zone, viewing area
- Event/streaming kit from day one — RaceSims Championship build-up

REVENUE STREAMS

- Per-hour sessions · peak / off-peak / motion premium tiers
- Memberships & multi-hour packs
- Corporate events, birthdays, team-building
- Coaching & race academy
- Championship entry fees (from 2027)
- Café, merch & brand collaborations

The door is open. The Academy is inside.

The centre on the street is **RaceSims · Chennai** — walk-in friendly, ₹750/hr open sessions, no commitment. Inside lives **The Motorsport Academy** — the structured career-track for serious aspirants. Two mental contracts, one building.

THE CENTRE · OPEN TO EVERYONE

SURFACE	AUDIENCE · ₹
Open Sessions · drop-in racing	Walk-ins · ₹750-1,000/hr
Pass 8 / Pass 16 · memberships	Regulars · ₹5K / ₹9K mo
Experiences · groups, birthdays	B2C groups · ₹15-30K
Team Days · corporate	B2B · ₹40-60K

No barrier to entry. The casual phone-call funnel — already converting on Instagram today — keeps converting.

THE MOTORSPORT ACADEMY · THE SERIOUS TIER

PROGRAMME	SESSIONS · ₹
Initiation · first-timers	4 · ₹8,000
Race Academy · enthusiasts	8 · ₹14,000
Rally School · rally focus	10 · ₹16,000
Track Day Prep · supercar owners	4 · ₹25,000
Advanced Performance · supercar/track	6 · ₹50,000
Pro Track · career-bound	Bespoke
Tuner Lab · corporate cohort	₹28K/person

Partner faculty: **ARKA Motorsports · Buzzing Hornet**. The Ladder ends at a real seat (ARKA Rally Drive / Polo Cup Follow Car). **Track Day Programmes** serve Chennai's growing supercar driver community heading to MMRT.

Storefront, Google, Instagram all say **RaceSims · Chennai** . *Open every day. Walk-ins welcome.** The Academy badge sits inside — for the aspirants, the parents, the sponsors, the championship narrative.

World-class kit at every rig. *Same hardware behind F1 driver simulators.*

Five Rally rigs at ₹5,84,900 each and one Motion rig at ₹9,84,900. Premium Conspit and VNM components throughout — sourced through our distribution rights. Each customer sits in the same equipment that F1 driver-development simulators use.

Rally Rig — ₹5,84,900 each

High-end PC (RTX 5070 Ti)	₹2,70,000
Monitor (premium tier)	₹75,000
Conspit cockpit frame	₹35,000
Conspit / VNM bucket seat	₹20,000
Conspit DD wheelbase	₹42,000
Conspit GT / rally wheel	₹28,000
QR + load-cell pedals	₹34,900
Handbrake + shifter	₹40,000
Audio system + speakers	₹40,000
Total per rig	₹5,84,900

Motion Rig — ₹9,84,900

Rally rig base (above)	₹5,84,900
Conspit / VNM motion system	₹4,00,000
Total motion rig	₹9,84,900

6-rig deployment

5 × Rally Rig	₹29,24,500
1 × Motion Rig	₹9,84,900
Total rig deployment	₹39,09,400

Same component class deployed at top-tier sim racing operations globally. Conspit and VNM are the world's leading premium brands in direct-drive wheelbases and motion platforms.

Total Y1 investment: ₹95L

HARD CAPEX · ₹72.4L

Rigs (5 Rally + 1 Motion)	₹39,09,400
Space prep (HVAC, interior, flooring, lighting, furniture)	₹8,50,000
Power & electrical (wiring + UPS 6 KVA)	₹2,50,000
IT, software, networking, POS	₹2,55,000
Brand & CX (signage, café, streaming kit)	₹4,60,000
Safety, spares & tools	₹1,08,000
Deposits & pre-opening (incl. ₹10.5L rent deposit)	₹14,00,000
Hard capex total	₹72,32,400

WORKING CAPITAL · ₹22.4L

5 months × ₹4.48L monthly opex	₹22,40,000
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Grand total

Hard capex	₹72.32L
Working capital (5 mo)	₹22.40L
Total Y1 cash need	₹94.72L

The integrated stack

Centre + championship + curriculum + sim-to-real pathway, **all under one brand**. ARKA Motorsports race-engineering pedigree informs every standard. No other Indian operator runs all four layers. **That** is the durable advantage.

PAYBACK WINDOW

Invested capital recovered on cumulative EBITDA by **Q1 of Year 3 (~25 months)**.

₹4.34L / month. *Lean by design.*

TEAM — 4 DIRECT + OUTSOURCED CA

ROLE	COUNT	₹ / MONTH
Senior Team Lead	1	₹35,000
Multi-role Team Member	2	₹40,000
Housekeeping	1	₹5,000
Direct payroll	4	₹80,000
Statutory (PF + ESI + bonus, ~28%)		₹22,400
Outsourced CA (filings only)		₹7,000

Total staff cost ₹1,09,400

Senior Lead handles Zoho Books; CA does filings. Team is multi-role: sim ops, floor, marketing, community.

OVERHEADS

Rent (1,750-2,000 sq ft commercial)	₹1,75,000
Electricity (5-star ACs, realistic loads)	₹50,000
Internet + water + utilities	₹5,000
Maintenance & spares	₹7,500
Marketing (Y1 launch · ₹25K from Y2)	₹35,000
Incentive pool reserve	₹25,000
Insurance (₹50L+ asset cover)	₹7,500
Payment gateway (Y1 · 2% of digital)	₹8,400
Software, cleaning, misc	₹11,000

Non-staff overheads ₹3,24,400

Total monthly opex ₹4,33,800

Annual opex Y1 · ₹52L (₹54L incl. café/merch COGS)

Break-even at 23% blended. *Y1 lands at 30%.*

UTILISATION RAMP · BASE CASE

YEAR	UTIL %	HRS/RIG/DAY	BLENDED ₹/HR
Y1 · 2026	30%	3.6	₹750
Y2 · 2027	50%	6.0	₹800
Y3 · 2028	60%	7.2	₹900
Y4 · 2029	65%	7.8	₹1,000
Y5 · 2030	68%	8.2	₹1,100

Blended rate weighs off-peak ₹500-650, peak ₹900-1,200, motion premium ₹1,200-1,500, group/corporate bookings. Industry benchmark for mature entertainment venues: 50-65%. 68% by Y5 is defensible-ambitious.

REVENUE BUILD (₹L)

YEAR	RIG	ANCILLARY*	TOTAL
Y1	59.1	9.8	68.9
Y2	105.1	22.5	127.6
Y3	141.9	38.2	180.1
Y4	170.8	52.1	222.9
Y5	196.6	65.1	261.7
5Y total	673.5	187.7	861.2

*Ancillary = café + events + Academy + Track Day Programmes + coaching + Real Drives + merch + championship. Grows from 17% → 33% of rig revenue.

Where the ₹2.52cr *actually comes from.*

Revenue at maturity decomposes across **Drive · Train · Compete** — the brand framework also being the revenue framework. Multiple uncorrelated streams within each pillar. **Track Day Programmes** is the Chennai-specific opportunity, serving the city's growing supercar & HNI track-day community heading to MMRT.

DRIVE · 86%

The volume — anyone can come

Open Sessions + memberships	₹140 L
Motion rig premium uplift	₹15 L
Group · Corporate · Private hire	₹30 L
Café & F&B	₹27 L
Merchandise + content rentals	₹5 L
Drive total · Y5	₹217 L

TRAIN · 12%

The depth — sim to real

The Motorsport Academy programmes	₹6 L
Track Day Programmes (supercar)	₹10 L
1-on-1 coaching	₹3 L
Pro Driver Training (B2B teams)	₹5 L
Real Driving Experiences (ARKA + BH)	₹5 L
Train total · Y5	₹29 L

COMPETE · 2%

The brand engine

Championship round entries	₹3 L
Season passes	₹1 L
Hosted round share + sponsorship	₹2 L
Compete total · Y5	₹6 L

Compete is small at centre level but **compounds across the network** — sponsorships, broadcast, hosting fees route through HQ.

TRACK DAY PROGRAMMES · the Chennai play

Prep ₹25K · Advanced ₹50K. Chennai's growing supercar owners doing MMRT track days have nowhere to train safely. We give them sim hours + telemetry + coaching before they hit the circuit.

REAL DRIVING EXPERIENCES

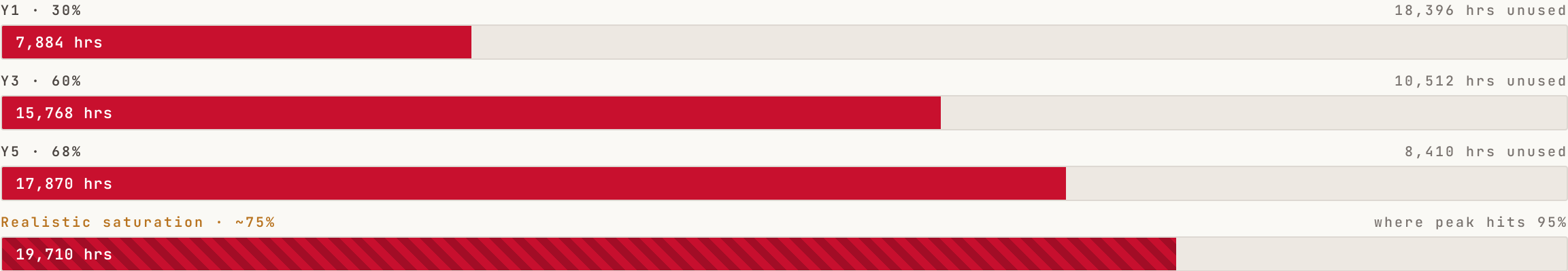
ARKA Real Drive ₹1.75L · Buzzing Hornet ₹2.25L. Sim morning + real-car afternoon. 43% / 44% GM. Unique — only RaceSims has these partnerships.

TOTAL Y5 REVENUE

₹2.52 cr per mature centre. Drive 86% · Train 12% · Compete 2%. 43 centres at saturation = ₹105 cr network revenue.

The constraint isn't average utilisation — *it's peak saturation.*

ANNUAL CEILING · 26,280 SEAT-HOURS (IMMOVABLE)



PEAK VS OFF-PEAK SPLIT · Y5

SLOT	HRS/WK	UTIL	STATUS
Weekday off-peak (11am-6pm)	210	~45%	Room
Weekday peak (6pm-11pm)	150	~90%	Near full
Weekend (all day)	144	~88%	Near full
Blended	504	68%	

At Y5, peak slots are 90%+ booked. Growth from here = raise peak prices or open Centre #2.

Centre #2 trigger

Weekday peak hits **90%+ for 3 consecutive months** (expected mid-Y3) → trigger Centre #2 rollout.

OFF-PEAK STRATEGY

- Corporate team-building (₹15-25K per session)
- Coaching & race academy (recurring weekday mornings)
- Schools/colleges (esports clubs, mornings + early afternoons)
- League play (Championship qualifiers)
- Influencer / content shoots (paid)

₹5.16cr cumulative EBITDA. 68% margin by Y5.

ALL FIGURES IN ₹ LAKHS	Y1	Y2	Y3	Y4	Y5	5Y TOTAL
REVENUE						
Rig revenue	59.1	105.1	141.9	170.8	196.6	673.5
Ancillary (café, events, Academy, Real Drives, merch)	8.3	19.5	33.2	45.1	55.1	161.2
Track Day Programmes (supercar coaching)	1.5	3.0	5.0	7.0	10.0	26.5
Total revenue	68.9	127.6	180.1	222.9	261.7	861.2
OPERATING EXPENSES						
Payroll + statutory + CA	13.1	17.2	18.2	19.3	20.4	88.2
Rent (₹1.75L · 5% escalation)	21.0	22.1	23.1	24.3	25.5	116.0
Electricity & utilities	6.6	7.5	8.3	8.8	9.2	40.4
Maintenance & spares	0.9	1.0	1.1	1.1	1.2	5.3
Marketing (Y1 launch boost)	4.2	3.0	3.2	3.4	3.6	17.4
Incentive pool	3.0	3.2	3.4	3.6	3.8	17.0
Insurance	0.9	1.0	1.0	1.1	1.2	5.2
Payment gateway (~2% of digital)	1.0	1.9	2.8	3.5	4.3	13.5
Variable COGS (café + merch + Track Day materials)	1.8	4.0	6.9	9.5	12.2	34.4
Software, internet, cleaning, misc	1.3	1.4	1.5	1.7	1.8	7.7
Total opex	53.8	62.3	69.5	76.3	83.2	345.1
EBITDA	15.1	65.3	110.6	146.6	178.5	516.1
EBITDA margin %	22%	51%	61%	66%	68%	60%
Depreciation (rig 5yr + infra 7yr SLM)	10.9	10.9	10.9	10.9	10.9	54.3
PBT	4.2	54.4	99.7	135.7	167.6	461.6
Tax @ 25%	1.1	13.6	24.9	33.9	41.9	115.4
PAT	3.2	40.8	74.8	101.8	125.7	346.2

Payback in 25 months. *5.4× EBITDA on capital.*

Y1 INVESTMENT

₹95L

₹72L capex + ₹22L WC

PAYBACK PERIOD

25_{mo}

Q1 of Y3 on EBITDA

5Y CUMULATIVE EBITDA

₹5.16_{cr}

5.4× capital deployed

Y5 EBITDA MARGIN

68%

Mature steady state

CUMULATIVE CASH POSITION (₹L)

YEAR	EBITDA	CUMULATIVE	NET OF ₹95L
Y1	15.1	15.1	-79.9
Y2	65.3	80.4	-14.6
Y3	110.6	191.0	+96.0
Y4	146.6	337.6	+242.6
Y5	178.5	516.1	+421.1

Capital fully returned by Q1 of Y3. Pure compounding thereafter.

THREE SCENARIOS · SENSITIVITY TO Y5 UTIL

SCENARIO	Y5 UTIL	5Y EBITDA	PAYBACK
Conservative	62%	₹4.4cr	~28 mo
Base case	68%	₹5.16cr	~25 mo
Aggressive	72%	₹5.55cr	~23 mo

Y3 EBITDA SENSITIVITIES

Each 1% utilisation change	±₹1.8L
Each ₹50 blended rate change	±₹3.6L
10% rent variance	±₹2.3L
Track Day Programmes upside (HNI demand)	+₹3-5L Y3

₹95L for the Chennai flagship. *The proof point.*

WHAT ₹95L BUYS

- 6-rig premium centre with world-class Conspit + VNM kit
- Chennai location · 1,750-2,000 sq ft commercial
- 5 months operating runway built in
- Event/streaming kit for Championship 2027
- Founding team of 4 in place from month one

WHAT IT RETURNS

- **₹5.16 cr** cumulative EBITDA over 5 years
- **₹3.46 cr** cumulative PAT
- **25-month** payback on EBITDA
- **68%** EBITDA margin at steady state
- Operating template for national rollout

WHY THIS FIRST

- Single centre — single proof point
- Numbers built bottom-up, line by line
- Distributor edge → structural moat
- Chennai · motorsport's natural home
- Centre #2 triggered by saturation, not calendar

NEXT CONVERSATION

Multi-centre national rollout · Franchisee economics · Championship monetisation

PROPOSAL · v2 BASE CASE